

CSIS JAPAN CHAIR

7:54 PM ET

2,152 words · 9 min read

● Japan Daily Brief

Thursday, August 27, 2026

RE: BOJ Sept hike door open · Kioxia/\$31B chip expansion · Japan-China delegation fails · Okinawa race opens · Cabinet reshuffle begins

NIKKEI 225
66,131.98
 ▲ +0.18%
 as of Aug 27

USD/JPY
159.31
 ▲ +0.25%
 as of Aug 27

EUR/JPY
185.67
 ▲ +0.02%

BRENT
\$88.52
 ▼ -3.96%

10Y JGB
1.50%
 yield

JAPAN 5Y CDS
20 bps
 — flat

BOJ POLICY RATE
1.00%

GDP (ANNUALIZED)
1.1%
 Cabinet Office · latest Q (annualized)

TODAY AT A GLANCE

- 1 BOJ Deputy Governor Himino kept the door open to a September rate increase, citing mounting inflationary pressures from Middle East conflict and persistent yen weakness, while Governor Ueda's decision to skip Jackson Hole shifts market focus to the G20.
- 2 Kioxia and SanDisk announced a combined \$31 billion investment in Japan memory chip production, including a new third facility in Iwate Prefecture, marking one of the largest semiconductor commitments in Japan this year.
- 3 PM Takaichi began consultations with LDP executives ahead of an expected Cabinet reshuffle aimed at shoring up public support and strengthening the administration's position before the autumn Diet session.

TOP STORIES

ECONOMY-BOJ

BOJ Deputy Governor Himino keeps September rate hike door open; Ueda skips Jackson Hole

BOJ Deputy Governor Himino publicly acknowledged mounting inflationary pressures — compounded by Middle East conflict and persistent yen weakness — while stopping short of a firm commitment to a September increase. Governor Ueda will not attend the Federal Reserve's Jackson Hole symposium due to a scheduling conflict; hawkish board member Naoki Tamura will represent the BOJ instead, shifting the key policy-signal venue to the G20.

So what: *Tamura's Jackson Hole remarks will be the primary near-term indicator of the BOJ's September policy direction, with markets already pricing a rate lift.*

per The Japan Times: "[BOJ deputy chief keeps door open to September rate increase](#)"

TECHNOLOGY

Kioxia and SanDisk announce \$31 billion Japan memory chip expansion including new Iwate facility

Kioxia will invest \$6.3 billion in a third NAND flash memory manufacturing facility at its Iwate Prefecture site, with the combined Kioxia-SanDisk Japan investment commitment totaling over \$31 billion, driven by AI-related demand. The announcement represents one of the largest semiconductor investment pledges in Japan to date.

So what: *The investment directly reinforces Japan's semiconductor supply-chain strategy and the US-Japan technology alliance framework centered on advanced memory production.*

per The Japan Times: "[Kioxia and Sandisk plan \\$31 billion Japan memory chip expansion](#)"

THE JAPAN TIMES

CHINA-JAPAN

Rare Japanese cross-party delegation to Beijing ends without diplomatic breakthrough

A Japanese cross-party lawmaker delegation — the first such visit since bilateral relations deteriorated following PM Takaichi's November remarks on potential Japanese military intervention in a Taiwan crisis — fell short of mending ties during their rare China visit. China's Foreign Ministry said relevant authorities would release information on the meeting in due course, per Global Times.

So what: *The failed visit leaves the Japan-China diplomatic channel effectively frozen ahead of any potential PM-level contact, with Beijing's Taiwan-related grievances unresolved.*

per The Japan Times: "[Japanese delegation falls short in bid to mend ties during rare China visit](#)"

THE JAPAN TIMES

POLITICS-DIET

PM Takaichi begins LDP consultations for Cabinet reshuffle ahead of autumn Diet session

PM Takaichi commenced meetings with LDP executives on August 27 to prepare a Cabinet reshuffle, with personnel changes aimed at bolstering public support and reinforcing the administration's intra-party position before the autumn parliamentary session. The move follows Takaichi Cabinet approval ratings hitting record lows across NHK, Kyodo, and Yomiuri polls.

So what: *The reshuffle timeline is directly tied to the autumn Diet session, where the administration will need to manage its food-tax-cut legislation amid LDP fiscal pushback.*

per The Japan Times: "[Takaichi begins meeting with LDP executives ahead of expected Cabinet reshuffle](#)"

THE JAPAN TIMES

OVERNIGHT FLASH

POLITICS-DIET · THE JAPAN TIMES

Okinawa governor race opens; LDP seeks comeback after 12 years

Five candidates, including incumbent Governor Denny Tamai and former Naha Deputy Mayor Genta Koja, began campaigning with economic revitalization as the centerpiece. The LDP has not held the Okinawa governorship for 12 years; the race carries implications for US base relocation policy.

TECHNOLOGY · NIKKEI ASIA

Japan sees surge in research co-authored with security-risk-flagged entities

Japan has recorded a significant increase in academic research co-authored with entities flagged for security risks, raising concerns for Tokyo's economic security framework. The trend intersects with Japan's ongoing efforts to tighten research security oversight under its economic security legislation.

DEFENSE · NIKKEI ASIA

Fujitsu and General Atomics to partner on UAV maintenance in Japan

Fujitsu and US drone manufacturer General Atomics announced a teaming arrangement for UAV maintenance in Japan, extending defense-industrial cooperation between Japanese and US firms. The partnership reflects Japan's accelerating integration of unmanned systems into its defense posture.

ECONOMY-BOJ · AP

Heavy rain and flooding in north-central Japan strands people and vehicles

Heavy rain and flooding struck north-central Japan, stranding people and vehicles in affected areas. The government has flagged the need to closely monitor the economic impact of natural disasters, with the Kumamoto earthquake and a Chiba downpour already cited in its latest economic report.

STAT OF THE DAY

\$31B

Kioxia-SanDisk combined Japan memory chip investment pledge

Kioxia will invest \$6.3 billion in a new NAND flash memory facility in Iwate Prefecture, part of a combined \$31 billion expansion with SanDisk amid the AI-driven demand surge.

Source: Kioxia to invest \$6.3bn in new memory production facility in Japan

REGIONAL PRESSURE WATCH

Normal — 23 items

PM Watch: PM appeared today · 1 day(s) since last confirmed appearance — PM Takaichi began consultations with LDP executives ahead of an expected Cabinet reshuffle and chaired the GX Implementation Council, while the LDP's Disaster Response Headquarters submitted Kumamoto earthquake restoration proposals to her.

CHINA

A Japanese cross-party lawmaker delegation — the first visit to Beijing since bilateral ties deteriorated following PM Takaichi's November Taiwan remarks — ended without breakthrough; China's Foreign Ministry stated only that 'relevant authorities' would release information on the meeting 'in due course.' A CCP official separately told Nikkei Asia that China's policy toward Japan 'remains unchanged,' framing Beijing's posture as stable rather than conciliatory.

NORTH KOREA

North Korea formally condemned a planned US arms sale to South Korea and vowed a 'powerful response,' per NHK and the Straits Times, continuing Pyongyang's pattern of statements targeting US-ROK military cooperation; no new missile launch or KCNA statement specifically naming Japan was reported today.

RUSSIA

No new acute Russia-Japan territorial or military incident reported today; the sustained diplomatic standoff over Putin's Etorofu visit and the August 21 Bastion missile live-fire from the disputed island remain the baseline, with Japan's sanctions posture unchanged.

Senkaku / ECS: No new CCG intrusion, PLA aircraft incident, or Senkaku-specific patrol escalation reported in today's feed; the baseline of sustained Chinese Coast Guard presence in the contiguous zone continues.

Bottom line: The failed Japan-China lawmaker delegation — the first Beijing visit since Takaichi's Taiwan intervention remarks — leaves the bilateral channel effectively frozen; watch whether Beijing's vague promise to release information on the talks translates into any substantive diplomatic signal ahead of the autumn Diet session.

EXPERT ANALYSTS

OP-EDS & THINK TANK COMMENTARY

FOREIGN POLICY

Trump Keeps Stabbing Japan in the Back

The Trump administration's repeated unilateral actions — on tariffs, the ICC, and alliance burden-sharing — are systematically undermining Japan's ability to rely on the US as a dependable security and trade partner.

The piece argues that US policy under Trump has repeatedly blindsided Tokyo, most recently through ICC sanctions that put Japan in a position of publicly defending an international institution against its primary ally. The author contends that the pattern of surprise decisions without allied consultation constitutes a structural corrosion of the US-Japan alliance's trust architecture. Japan's diplomatic response — defending the ICC while avoiding direct confrontation with Washington — illustrates the bind Tokyo now routinely navigates.

The article frames Japan's ICC dilemma as a template for how Washington's unilateralism is forcing Tokyo to build independent diplomatic postures, directly relevant to alliance burden-sharing negotiations and host-nation support talks.

HUDSON INSTITUTE

Beyond the Postwar Era: The Japan Innovation Party's Vision

Japan's Nippon Ishin no Kai (Japan Innovation Party) presents a coherent reformist platform that challenges both the LDP establishment and the traditional left, advocating constitutional revision and a more assertive national security posture.

The Hudson Institute piece examines Ishin's policy vision as it evolves beyond the postwar constitutional framework, with particular focus on the party's stance on defense, constitutional revision, and decentralization. The analysis places Ishin within Japan's shifting political landscape as the LDP faces record-low approval ratings and the opposition remains fragmented — illustrated today by the CDP's decision to defer its three-way merger. The piece argues Ishin's positions increasingly reflect mainstream sentiment on constitutional revision and defense spending.

Ishin's trajectory is directly relevant to Diet arithmetic on constitutional revision and the Takaichi administration's legislative strategy in the autumn session.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE	VS PRIOR
ANN	55.4%	29.9%	—
Kyodo	50.2%	33.9%	—

Mainichi · Jul 20, 2026 · 38d ago	41%	44%	—
Yomiuri	56%	32%	—
FNN	62.5%	32%	—
NHK	52.8%	33.2%	—
Jiji · Jul 16, 2026 · 42d ago	48.4%	26.9%	—
JNN	59.2%	37.6%	—
Nikkei	58%	37%	—
Asahi	53%	35%	—

Discourse: The Takaichi Cabinet's approval has hit record lows across Kyodo (50.2%), NHK (53%), and Yomiuri (56%) polls, with 71% of respondents in a Kyodo survey expressing concern over fiscal health following the food tax cut; PM Takaichi has begun Cabinet reshuffle consultations explicitly to arrest the slide ahead of the autumn Diet session.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

TRACKERS

JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · THURSDAY, AUGUST 27, 2026

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *PM Sanae Takaichi*

LDP Disaster Response Headquarters submits Kumamoto earthquake restoration proposals to PM Takaichi

The LDP's Disaster Response Headquarters formally presented Kumamoto earthquake restoration measures to PM Takaichi. The government separately announced a travel subsidy program, under which it is considering covering 60% of trip costs for visits to southern Kyushu to support quake-hit communities.

→ [The Japan Times](#) ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *PM Sanae Takaichi*

GX Implementation Council convened at the Prime Minister's Office

PM Takaichi chaired the GX (Green Transformation) Implementation Council, per a Prime Minister's Office release, continuing the administration's green industrial policy coordination.

→ [Kantei](#) ↗

DIET SESSIONS / LDP

CDP (CONSTITUTIONAL DEMOCRATIC PARTY)
[CDP defers planned three-way merger with CRA and Komeito](#)

The Constitutional Democratic Party announced it will defer a proposed three-way merger with the Citizens' Reform Alliance (CRA) and Komeito, per Jiji Press, leaving the opposition's organizational consolidation timeline uncertain ahead of the next electoral cycle.

UPCOMING

- SEP 1** **BOJ September rate decision window opens**
BOJ Deputy Governor Himino explicitly kept the door open to a September rate increase; BOJ Governor Ueda's skip of Jackson Hole shifts the key policy signal venue to the G20. Markets are pricing a lift as the next scheduled Monetary Policy Meeting approaches.
- SEP 14** **Okinawa gubernatorial election — vote day (estimate)**
Campaigning formally opened August 27 with five candidates, including incumbent Governor Denny Tamai and former Naha Deputy Mayor Genta Koja; both leading campaigns center on economic revitalization. The LDP is seeking its first Okinawa gubernatorial win in 12 years, with US base relocation policy looming in the background.
- SEP 27** **Japan Emperor and Empress may visit quake-hit Kumamoto (late September)**
Jiji Press reported the Emperor and Empress may visit Kumamoto Prefecture in late September to express condolences following the July 28 earthquake; specific date not yet confirmed.
- OCT 1** **Autumn extraordinary Diet session expected to convene**
PM Takaichi's Cabinet reshuffle is explicitly timed to strengthen the administration's position before the autumn Diet session; no specific opening date was confirmed in today's articles, but autumn sessions typically open in October.
- AUG 28** **Jackson Hole symposium — BOJ's Tamura representing Japan**
Hawkish BOJ board member Naoki Tamura attends the Federal Reserve's Jackson Hole symposium in place of Governor Ueda; Tamura's remarks will be parsed for rate-hike signals given his known hawkish stance.

US-JAPAN ALLIANCE & TRADE

US TARIFFS ON JAPAN

AUTOS · 2025 DEAL

15% (incl. MFN, 2025 agreement)

Steel **50%** SECTION 232

Aluminum **50%** SECTION 232

Investment framework: \$550B strategic investment framework (2025 agreement)

Section 301: 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

Deal: 2025 US-Japan agreement in force · Section 301 forced-labor tariff entered into force Jul 24, 2026; Section 122 surcharge expired Jul 24, 2026

CDP

CDP defers three-way merger with CRA and Komeito

The opposition CDP's decision to defer merger talks with CRA and Komeito complicates efforts to build a unified opposition bloc ahead of future elections, leaving the LDP-Komeito coalition without a consolidated challenge in the near term.

WIRE

BUSINESS & ECONOMY

FINANCE · NIKKEI ASIA

Japan credit unions suffer bond losses as long-term rates rise

Japanese credit unions are incurring losses on their bond holdings as long-term interest rates rise, with the 10-year JGB yield at 1.50%. The losses highlight the balance-sheet stress facing smaller financial institutions as the BOJ normalizes monetary policy.

FINANCE · THE JAPAN TIMES

Japan considers incentives to attract retail investors to government bonds

The government is weighing measures to encourage retail purchases of Japanese government bonds as the Bank of Japan reduces its own holdings. The initiative responds to the structural financing challenge created by BOJ balance-sheet normalization.

TECH · NIKKEI ASIA · ITOCHU, DENTSU GROUP

Itochu to take \$1.5 billion stake in Dentsu Group's system developer unit

Trading house Itochu will acquire a \$1.5 billion stake in a Dentsu Group system-development subsidiary, expanding the conglomerate's footprint in the IT services sector. The deal reflects continued cross-sector consolidation among major Japanese corporate groups.

INDO-PACIFIC

CHINA-JAPAN · NIKKEI ASIA

CCP official: China's policy toward Japan remains unchanged despite tensions

A Chinese Communist Party official stated that Beijing's policy toward Japan has not changed, even as the bilateral relationship remains strained following Takaichi's Taiwan remarks and sustained Yasukuni-related rhetoric from Chinese state media.

DPRK · NHK / STRAITS TIMES

North Korea condemns planned US missile sale to South Korea, vows strong response

Pyongyang formally condemned a planned US arms sale to South Korea and vowed a 'powerful response,' continuing its pattern of statements directed at US-ROK military cooperation that also bears on Japan's regional security calculus.

ALSO TODAY / THE WIRE

ECONOMY-BOJ · NIKKEI ASIA

BOJ's Himino emphasizes inflation risks, stops short of explicit hike signal

Deputy Governor Himino's remarks reinforced the BOJ's hawkish tilt without committing to a September move, with yen weakness and imported inflation cited as the primary pressures.

DEFENSE · NIKKEI ASIA

Japan to add 400 beds to Self-Defense Force hospitals for emergencies

Japan's Ministry of Defense plans to expand SDF hospital capacity by 400 beds to handle large-scale emergencies, reflecting the dual-use civilian-military resilience planning under Japan's defense buildup.

TECHNOLOGY · NIKKEI ASIA

Japan's top banks regain access to Anthropic's Mythos AI after US freeze

Major Japanese banks have been restored access to Anthropic's Mythos AI system following a prior US-imposed freeze, reflecting the ongoing volatility in US-Japan AI technology access arrangements.

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